Distribution

Exam code: 9BS0

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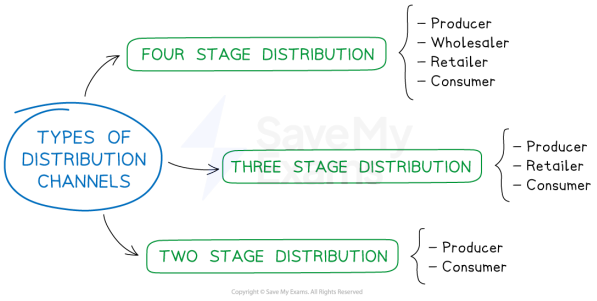
Types of distribution channels

- Distribution channels refer to the **various intermediaries** through which goods/services move **from the manufacturer to the end customer**

Common distribution channels



The three different types of distribution channels businesses can use to move products from the manufacturer to the end consumer

Four-stage distribution channel

- A traditional channel consists of four stages: producer, wholesaler, retailer and consumer
- This channel is commonly used for products such as groceries, clothing and electronics
  - For example, The Coca-Cola Company produces the soft drink and then sells it to a **wholesaler**, which in turn sells it to a retailer
  - The retailer then sells the soft drink to the end customer

Three-stage distribution channel

- The three-stage distribution channel **eliminates the wholesaler stage**, with the producer selling directly to the retailer
- This channel is often used for **products with high demand** or where the cost of distribution is high
- This channel is often used for products with high **profit margins**, where the manufacturer can afford to sell directly to the retailer and still make a profit

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Two-stage distribution channel

- The two-stage distribution channel **eliminates both the wholesaler and retailer** stages, with the manufacturer selling directly to the end consumer
- This channel is commonly used for **products that are sold online** or through direct sales channels
  - For example, Ryanair sells its service (passenger tickets) directly to the end customer on its website

Changes in distribution to reflect social trends

- Changes in distribution have been impacted by social trends such as the **growth of e-commerce** and the **shift from product-based businesses to service-based businesses**
- By understanding these trends, businesses can adjust their distribution strategies to better **meet the needs** of their customers and **stay competitive** in the marketplace

The growth of e-commerce

Explanation	Example

• **Online distribution** has become increasingly popular due to the convenience and accessibility it offers to consumers
• Many businesses now use **drop shipping**, which allows them to sell products without holding stock
  ○ Once the business has sold the products, they are **shipped directly** from the producer to the customer
  ○ This reduces the cost and complexity of distribution, making it **easier for businesses** to sell online
	• Amazon is known as a **third-party logistics provider**
	• It provides businesses with the **infrastructure and online marketplace** that allows them to **reach a wider audience** and increase sales without having to invest in their distribution infrastructure
	• Many businesses now generate **the bulk of their sales** by selling on Amazon

The shift from product-based businesses to service-based businesses

• Consumers increasingly **value experiences over material possessions**, and this shift has impacted distribution, as the delivery of services is often quite different from the delivery of physical products
• Distribution for service-based businesses may involve **delivering services to customers directly**, such as through a mobile app or website
  ○ This requires a **different set of distribution capabilities** than traditional product-based distribution
	• Uber delivers a **taxi service** through a mobile app
	  ○ The distribution involves matching drivers with customers in real time
	  ○ The service is **distributed directly** to the end consumer without the need for wholesalers or retailers
	  ○ With no need for wholesalers or retailers, **business costs are reduced**, and profitability may increase

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